Life assurance

Endowment

These are effectively investment plans with life coverage attached. They used to be popular with interest-only mortgage holders who used them to build up savings to repay their mortgage capital.

With profit

A with-profit whole-of-life policy includes an investment element, so that the payout on death is the sum assured, plus any investment profits allocated to the policy.

Final expense

This type of policy includes some coverage for burial, funeral, and bereavement costs. It has a relatively low cost and lacks prescreening for health conditions.

Life assurance

A life assurance policy promises the holder a payout—either when they die, or when the term of the policy comes to an end. It can also be used to pay any future inheritance tax. The fact that a payout is guaranteed inevitably means that monthly or annual premiums are higher for life assurance than with life insurance. It is an investment for the long term.

Maximum coverage

This policy offers a high initial level of coverage for a low premium, until a review. Premiums will probably greatly increase to provide the same level of coverage.

Universal

This gives flexible coverage with a savings element that is invested to provide a cash value. Policyholders can use interest from their accumulated savings to help pay the premiums over time.

Balanced cover

This has a premium set high enough by the provider so as to stay the same for the length of the policy. Some of the premium is invested to give additional coverage over time.

Both

Whole of life

This policy provides coverage for the holder's entire lifetime with no set term, guaranteeing a lump sum at whatever age they die as long as premiums have been paid continuously from the start.